IN THE NATIONAL COMPANY LAW TRIBUNAL
ALLAHABAD BENCH

CA (CAA) No.23/ALD/2021
(Under Sections 230-232 of the Companies Act, 2013)

In the matter of
The Companies Act, 2013

And

In the matter of
Sections 230-232, and other applicable provisions of the Companies Act, 2013 read with the Companies (Compromises, Arrangements, and Amalgamations) Rules, 2016

And

IN THE MATTER OF:

GIGANTIC REAL ESTATE PRIVATE LIMITED, a company incorporated under the Companies Act, 1956; and having its registered office at 15/63, Civil Lines, Kanpur -208001, in the state of Uttar Pradesh, within the aforesaid jurisdiction.

..... "Transferor Company No. 1"

SHPL ENTERPRISES PRIVATE LIMITED, a company incorporated under the Companies Act, 1956; and having its registered office at 15/63, Civil Lines, Kanpur - 208001, in the state of Uttar Pradesh, within the aforesaid jurisdiction.

..... "Transferor Company No. 2"

GANDHESHWARI COMMERCIAL PRIVATE LIMITED, a company incorporated under the Companies Act, 1956; and having its registered office at Rudra House, 15/63, Civil Lines, Kanpur -208001, in the state of Uttar Pradesh, within the aforesaid jurisdiction.

..... "Transferor Company No. 3"

SANGINI CONSTRUCTIONS PRIVATE LIMITED, a company incorporated under the Companies Act, 1956; and having its registered office at Rudra House, 15/63, CivilLines,Kanpur -208001, in the state of Uttar Pradesh, within the aforesaid jurisdiction.

..... "Transferor Company No. 4"

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TERRIFIC COMMERCIAL PRIVATE LIMITED, a company incorporated under the Companies Act, 1956; and having its registered office at Rudra House, 15/63, Civil Lines, Kanpur -208001, in the state of Uttar Pradesh, within the aforesaid jurisdiction.

..... "Transferor Company No. 5"

ALTOP COMMERCIAL PRIVATE LIMITED, a company incorporated under the Companies Act, 1956; and having its registered office at Rudra House, 15/63, Civil Lines, Kanpur -208001, in the state of Uttar Pradesh, within the aforesaid jurisdiction.

..... "Transferor Company No. 6"

JAISONS RANGOLEE SECURITIES PRIVATE LIMITED, a company incorporated under the Companies Act, 1956; and having its registered office at 15/63, Civil Lines, Kanpur -208001, in the state of Uttar Pradesh, within the aforesaid jurisdiction.

..... "Transferor Company No. 7"

GVS VINIYOG LIMITED, a company incorporated under the Companies Act, 1956; and having its registered office at 80, Joy Narayan Santra Lane, Ground-03, Howrah - 711101, in the state of West Bengal, outside the aforesaid jurisdiction.

..... "Transferor Company No. 8"

WITH

RUDRA REAL ESTATE PRIVATE LIMITED, a company incorporated under The Companies Act, 1956; and having its registered office at Rudra House, 15/63, Civil Lines, Kanpur -208001, in the state of Uttar Pradesh, within the aforesaid jurisdiction.

..... "Transferee Company "

Date of Hearing: 23.11.2021
Date of Pronouncement:29.11.2021

Coram:
Shri Rajasekhar V. K. : **Member (Judicial)**
Shri Virendra Kumar Gupta : **Member (Technical)**

Counsel on Record for the Applicant(s):
Shri Patita Paban Bishwal, Advocate

ORDER

Per: Rajasekhar V.K., Member (Judicial)

1. The Court convened by video conference today.

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2. The instant application has been filed in the first stage of the proceedings under Section 230(1) read with Section 232(1) of the Companies Act, 2013 ("Act") for orders and directions with regard to meetings of shareholders and creditors in connection with the Scheme of Amalgamation of *Gigantic Real Estate Private Limited*, being "Transferor Company No.1" or "Applicant Company No. 1", *SHPL Enterprises Private Limited* being the "Transferor Company No. 2" or "Applicant Company No.2", *Gandheshwari Commercial Private Limited* being the "Transferor Company No. 3" or "Applicant Company No. 3", *Sangini Constructions Private Limited* being the "Transferor Company No. 4" or "Applicant Company No.4", *Terrific Commercial Private Limited* being the "Transferor Company No. 5" or "Applicant Company No. 5", *Altop Commercial Private Limited* being the "Transferor Company No. 6" or "Applicant Company No. 6", *Jaisons Rongolee Securities Private Limited* being the "Transferor Company No. 7" or "Applicant Company No. 7", with *Rudra Real Estate Private Limited*, being the "Transferee Company or "Applicant Company No. 8" whereby and whereunder the Transferor Companies are proposed to be amalgamated with the Transferee Company from the Appointed Date, viz 1st day of April, 2020 in the manner and on the terms and conditions stated in the said Scheme of Amalgamation ("Scheme").

3. The terms and conditions of the amalgamation are fully stated in the Scheme of Amalgamation. A copy of the Scheme of Amalgamation is annexed with the Application and marked as "Annexures A-17" page no. 583-607 to the application.

4. The said scheme has been proposed, inter alia, to specific group structure and provide for overall business efficiency to combine their managerial and marketing strength, to streamline administration, to build a wider capital and financial base and to promote and secure the overall interest growth and economics of all the companies concerned.

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5. The amalgamation will result in usual economics of a centralized and a larger company including reduction in overheads, better and more productive utilization of labour and other resources and reduction in procedural and administrative work.

6. The said scheme will enable the establishment of a larger company with larger resources and a larger capital base facilitating further expansion and development of the business of all companies. The said scheme will enable the undertakings and business of the said companies to obtain greater facilities possessed and enjoyed by one large company as compared with a number of smaller companies, for raising capital, securing and conducting trade, on favourable terms and other benefits.

7. The scheme will have beneficial results for all the Applicant Companies concerned, their shareholders, and employees concerned.

8. The Board of Directors of the Transferee Company/Applicant Company and the Transferor companies have at their respective Board meetings by resolution passed unanimously approved the Scheme of amalgamation on March 05, 2021. The copy of the Board resolutions of the Applicant Companies is annexed with the application and marked as Annexure A-18 at page nos. 608-616

9. It is submitted by Ld. Counsel appearing for the Applicant that the shares of the Applicant Company are not listed. Further, the Applicant has the following classes of shareholders and creditors:-

   (a) **Applicant Company No. 1:** 7 (Seven) Equity Shareholders and 2 (Two) Unsecured Creditor.

   (b) **Applicant Company No. 2:** 4 (Four) Equity Shareholders and 1 (One) Unsecured Creditor.

   (c) **Applicant Company No. 3:** 3 (Three) Equity Shareholders and 1 (One) Unsecured Creditor.

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(d) **Applicant Company No. 4:** 3 (Three) Equity Shareholders and 1 (One) Unsecured Creditor.

(e) **Applicant Company No. 5:** 4 (Four) Equity Shareholders and Nil Creditor.

(f) **Applicant Company No. 6:** 4 (Four) Equity Shareholders and 1 (One) Unsecured Creditor.

(g) **Applicant Company No. 7:** 9 (Nine) Equity Shareholders and Nil Creditor.

(h) **Applicant Company No. 8:** 18 (Eighteen) Equity Shareholders and 158 (One Hundred Fifty Eight) Unsecured Creditor and 2 (Two) Secured Creditor.

10. It is further submitted that all Equity Shareholders of the Applicant Company Nos. 1,2,3,4,5,6,7 and 8 have already given their consent to the Scheme by way of affidavits which are annexed to the application.

11. It is further submitted that all the Creditor of the Applicant Company Nos. 1,2,3,4,5,6 and 7 have already given their consent to the Scheme by way of affidavits which are annexed to the application.

12. Directions are sought accordingly for :

i. dispensing with meetings of the classes of equity shareholders of the Applicant Company Nos. 1,2,3,4,5,6, 7 and 8 who have already given their consent to the Scheme under Section 230(1) [read with Section 232(1)] of the Act.

ii. dispensing with meetings of the classes of creditor of the Applicant Company Nos. 1,2,3,4,5,6 and 7 who have already given their consent to the Scheme under Section 230(1) [read with Section 232(1)] of the Act.

iii. for convening separate meeting for the creditors of the Applicant Company No. 8 or Transferee Company to be held via video conference or at such other methods for the purpose of considering and if thought fit

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approving with or without modification, a scheme of Amalgamation of the Applicant Company No. 8 or Transferee Company.

13. Upon perusing the records and documents in the instant proceedings and considering the submissions made on behalf of the Applicant, we allow the instant application and make the following orders:-

(a) **Meetings dispensed of Equity Shareholders**: Meetings of the Equity Shareholders, of the Applicant Company Nos. 1,2,3,4,5,6, 7 and 8 are dispensed with under Section 230(1) [read with Section 232(1)] of the Act.

(b) **Meetings dispensed with Creditors**: Meetings of the Creditor of the Applicant Company Nos. 1,2,3,4,5,6 and 7 are dispensed with under Section 230(1) [read with Section 232(1)] of the Act.

(c) **Meetings to be held | Date and Time**: Separate meetings of the Creditors(Secured and Unsecured) of **RUDRA REAL ESTATE PRIVATE LIMITED**, being the "**Transferee Company or "Applicant Company No. 8"** be **convened through video conferencing/and other audio Visual Means ("VC/OAVM") on Saturday, the 8th day of January, 2022** at 4:00 P.M for the purpose of considering, and if thought fit, approving, with or without modification, the said Scheme of Amalgamation:

(d) **Mode of Voting**: Voting by Creditors of the Applicant Company No. 8 or Transferee Company to the Scheme shall be carried out through (a) postal ballot, (b) remote e-voting; and (c) e-voting during the Meeting to be held on January, 8, 2022.

(e) **Individual Notices**: At least 30 clear days before the said meeting of the Members of the Applicant Company No. 8 or Transferee Company to be held as aforesaid, a notice convening the said Meeting at the place, day, date and time aforesaid, together with a copy of the Scheme, a copy of the Explanatory Statement required to be sent under Section 230 of the Companies Act, 2013 and the prescribed Form of Proxy, if applicable, shall be sent by registered post or by e-mail, air mail or by courier or by speed post or by hand deliver to each of the Creditors of the Applicant Company No. 8 or Transferee Company at their respective registered or

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last known addresses as per the records of the Applicant Company No. 8 or Transferee Company.

(f) **Advertisement**: At least 30 clear days before the Meeting of the Creditors of the Applicant Company No. 8 or Transferee Company to be held as aforesaid, a notice convening the said meeting, at the place, date and time aforesaid and stating that copies of the Scheme of Amalgamation and the statement required to be furnished pursuant to Section 230 of the Companies Act, 2013 and that the form of Proxy, to the extent applicable, can be obtained free of charge at the registered office of the Applicant Company No. 8 or Transferee Company as aforesaid and shall also be published once each in 'Financial Express' in English and 'Jansatta' in Hindi as per the requirements of Section 230 of the Companies Act, 2013 in Form No. CAA2 of the Companies (Compromises, Arrangement and Amalgamation) Rules, 2016.

(g) **Chairperson**: Shri Mehul Khare, Advocate (Mobile No. 9956003780) and failing him, Shri Krishna Dev Vyas, Advocate (Mobile No. 9554476543) is appointed as the Chairperson of the meetings to be held, as aforesaid. Each of these persons shall be paid a consolidated sum of ₹1,00,000/- for conducting the aforesaid meetings. The Chairperson shall have all other powers under the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 read with the other applicable rules and provisions in relation to conduct of the meetings, including for deciding procedural questions that may arise at the meeting or at any adjournment thereof, or any other matter relating to the meetings, including an amendment to the Scheme, if any proposed by any persons.

(h) **Scrutinizer**: Shri Anil Kumar, Practising Company Secretary (Mobile No. 9415306147) is appointed as the Scrutinizer of the meetings to be held, as aforesaid and shall be paid a consolidated sum of Rs. 75,000/- for the meetings.

(i) **Quorum and Attendance** The quorum for the aforesaid meeting of creditors shall be Two persons present in person or through Authorized Representative.

(j) **Proxies**: The voting by proxy or authorized representative in case of body corporate be permitted, provided that a proxy in the prescribed form/

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authorisation duly signed by the person entitled to attend and vote at the meeting, is filed with the Applicant Companies at its Registered Office, not later than, 48 hours before the aforesaid meeting as required under Rule 6 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016.

(k) **Scrutinizer's Report**: The votes cast shall be scrutinised by the Scrutinizer. Votes cast in all the modes shall be consolidated. The Scrutinizer shall prepare and submit the respective reports on the meetings along with all papers relating to the voting to the Chairperson of the meetings within 2 days after the conclusion of the respective meetings. The Chairperson shall declare the results of the meetings after submission of the reports of the Scrutinizer.

(l) The Chairperson appointed for the aforesaid Meeting to issue the notices of the Meeting referred to above. The said Chairperson shall have all powers under the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 in relation to the conduct of the meeting(s), including for deciding procedural questions that may arise or at any adjournment thereof or any other matter including an amendment to the Scheme or resolution, if any, proposed at the meeting by any person(s).

(m) The Chairperson to file an affidavit not less than seven days before the date fixed for the holding of the meeting and do report this Tribunal that the direction regarding the issue of notices and advertisement have been duly complied with as per Rule 12 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016.

(n) The Chairperson to report to this Tribunal, the result of the aforesaid meeting within 30 working days of the conclusion of the meeting, and the said report shall be verified by his Affidavit as per Rule 14 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016.

14. Notice along with all accompanying documents, including a copy of the Scheme, Statement under the provisions of the Companies Act, 2013 disclosing necessary details shall also be served on the Central Government, through the Regional Director, Northern Region, Ministry of Corporate Affairs, the

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Registrar of Companies, Kanpur, Uttar Pradesh, Official Liquidator, Kanpur, Income Tax Department having jurisdiction over the Applicant Company in terms of the provisions of Section 230(5) of the Companies Act, 2013 by sending the same by electronic mail or and delivery through special messenger or by post forthwith after the notices are sent to the creditors in terms of Rule 8(2) of the Companies (Compromises, Arrangements and Amalgamations) Rules 2016 for filing their representation, if any, within 30 days from the date of the notice. The notice shall specify that representation, if any, should be filed before this Tribunal within 30 days from the date of receipt of the notice with a copy of such representation being simultaneously sent to the advocates of the said Applicant. If no such representation is received by the Tribunal within such period, it shall be presumed that such authorities have no representation to make on the said Scheme of Arrangement. Such notice shall be sent pursuant to Section 230(5) of the Companies Act, 2013 in Form No.CAA3 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 with necessary variations, incorporating the directions herein.

15. The Applicants to file an affidavit proving service of notices of meetings and publication of advertisement and compliance of all directions contained herein at least a week before the meetings to be held.

16. The application being Company Application (CAA) No. 23/ALD/2021 is disposed of accordingly.

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Virendra Kumar Gupta
Member (Technical)

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Rajasekhar V.K.
Member (Judicial)

Swati Gupta
(LRA)